

paper loss that lowers your tax bill in the year you made the transaction. You must be careful to buy an investment that is similar, but not identical to the one you sold. If the replacement is not similar enough, you add tracking risk. This is the risk that you don't experience the full rebound when markets go back up. If you buy an investment identical to the one you sold, it violates the IRS "wash sale" rule, which aims to limit this practice.

Tax gain harvesting is uncommon but valuable to those who are FI and are earning little or no income in a given year. It is very simple. In this case, you sell off as much of your taxable investment portfolio as possible each year where you have unrealized gains while limiting recognized gains to a level that they don't push you above the 12 percent marginal tax bracket. Up to that point, investment gains are taxed at 0 percent.

Conventional wisdom says not to sell investments until you must to avoid unnecessary taxation. However, those who are FI can find themselves in unique situations. Using tax gain harvesting requires paying taxes on the event you create by selling investments. The tax is conveniently paid at a rate of 0 percent. After selling off investments and triggering this taxable event, you can immediately repurchase the identical investments in the same